Solution

Salary to Samuel = 2,000 x 12 = ₹ 24,000

Commission to Sudhahar = ₹ 6,000

Journal entry

Date	Particulars	L.F.	Dr. ₹	Cr. ₹
	Samuel's salary A/c Dr.		24,000	
	To Samuel's capital A/c			24,000
	(Samuel's salary transferred to his capital account)			
	Sudhahar's commission A/c Dr.		6,000	
	To Sudhahar's capital A/c			6,000
	(Sudhahar's commission transferred to his capital account)			
	Profit and loss appropriation A/c Dr.		30,000	
	To Saumel's salary A/c			24,000
	To Sudhahar's commission A/c			6,000
	(Salary and commission account transferred)			

Illustration 20

Murali and Sethu are partners in a firm. Murali is to get a commission of 10% of net profit before charging any commission. Sethu is to get a commission of 10% on net profit after charging all commission. Net profit for the year ended 31st March 2019 before charging any commission was ₹ 1,10,000. Find the amount of commission due to Murali and Sethu.

Solution

Calculation of commission:

Commission to Murali:

$$= \text{Net profit before commission} \times \frac{\%\ \text{of commission}}{100}$$

$$= 1{,}10{,}000 \times \frac{10}{100} = ₹\ 11{,}000$$

Commission to Sethu:

Net profit after Murali's commission = 1,10,000 –11,000 = ₹ 99,000

$$\text{Sethu's commission} = \text{Net profit after Murali's commission} \times \frac{\%\ \text{of commission}}{(100 + \%\ \text{of commission})}$$

$$= 99{,}000 \times \frac{10}{(100+10)} = ₹\ 9{,}000$$

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